ANSWER KEY

25900307 A

MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS) THIRD SEMESTER EXAMINATIONS
Discipline Specific Elective (DSE) - MG3DSECOM204 - PUBLIC FINANCE
(2024 ADMISION ONWARDS)

Maximum Marks: 70

Part A

Answer any 20 questions. Each question carries **1** marks

1. C:Integrated Goods and Services Tax
2. C:Because they do not increase the asset's life or value significantly
3. C:41%
4. B:Deficit budget
5. B:Household savings and investment for personal goals
6. C:Dynamic and changing social needs
7. B:Liquidity shortage and crowding-out of private borrowing
8. B:Revenue from sale of state-run lottery tickets
9. D:A personal mobile phone connection
10. C:Interest payments
11. B:Direct tax
12. A:Productivity
13. C:World Bank
14. C:On the customer
15. D:All of the other options
16. D:Tax revenue
17. B:Revenue expenditure > Revenue receipts
18. D:Increases both in absolute terms and as a proportion of national income
19. B:To stimulate economic growth during a recession
20. C:Finance Commission
21. B:Developmental expenditure
22. C:Government income equals its expenditure

[1x20 = 20]

Part B

Answer any 25 questions. Each question carries 2 marks

23. B:(1) and (2) only

24. B:Both A and R are true, and R is not the correct explanation of A.
25. C:A is true, but R is false.
26. A:Private income
27. A:Both A and R are true, and R is the correct explanation of A
28. D:Both statements are true
29. A:Reduce fiscal deficit and ensure fiscal discipline.
30. B:All income and expenditure must be shown without netting off.
31. C:Direct tax add-on
32. D:All of the options given
33. A:74th Amendment
34. C:Both A and R are true, and R is the correct explanation of A.
35. C:Statement I is false, and Statement II is true
36. C:Statement I is false, and Statement II is true.
37. D:(1), (2), and (3) only
38. A:Both statements are true
39. C:Both Statements are true.
40. B:Statement I is true, and Statement II is false
41. A:Both A and R are true, and R is the correct explanation of A.
42. A:(1) and (2) only
43. A:Both statements are true
44. A:Progressive taxation
45. B:Both A and R are true, and R is not the correct explanation of A.
46. A:Indirect taxes at point of sale
47. B:Statement I is true, and Statement II is false
48. B:Statement I is true, and Statement II is false.
49. D:All of the other options.

[2x25 =50]

25900307-B

Discipline Specific Elective (DSE) - MG3DSECOM204 - PUBLIC FINANCE

Part A

Answer any 20 questions. Each question carries **1** marks

1. B:Liquidity shortage and crowding-out of private borrowing
2. C:On the customer
3. C:Because they do not increase the asset's life or value significantly
4. C:Finance Commission
5. D:A personal mobile phone connection
6. B:Developmental expenditure
7. B:To stimulate economic growth during a recession
8. D:Tax revenue
9. A:Productivity
10. B:Revenue from sale of state-run lottery tickets
11. C:World Bank
12. B:Deficit budget
13. B:Direct tax
14. D:All of the other options
15. D:Increases both in absolute terms and as a proportion of national income
16. B:Revenue expenditure > Revenue receipts
17. C:Government income equals its expenditure
18. C:Interest payments
19. C:Dynamic and changing social needs
20. C:41%
21. C:Integrated Goods and Services Tax
22. B:Household savings and investment for personal goals

[1x20 = 20]

Part B

Answer any 25 questions. Each question carries 2 marks

23. A:Indirect taxes at point of sale
24. B:Statement I is true, and Statement II is false.
25. B:Both A and R are true, and R is not the correct explanation of A.
26. A:Both A and R are true, and R is the correct explanation of A
27. B:Statement I is true, and Statement II is false
28. C:Direct tax add-on

29. D:All of the options given
30. A:74th Amendment
31. C:Both A and R are true, and R is the correct explanation of A.
32. D:Both statements are true
33. B:(1) and (2) only
34. B:Both A and R are true, and R is not the correct explanation of A.
35. D:All of the other options.
36. C:Statement I is false, and Statement II is true.
37. D:(1), (2), and (3) only
38. B:Statement I is true, and Statement II is false
39. A:Progressive taxation
40. A:(1) and (2) only
41. A:Private income
42. B:All income and expenditure must be shown without netting off.
43. A:Reduce fiscal deficit and ensure fiscal discipline.
44. A:Both statements are true
45. A:Both A and R are true, and R is the correct explanation of A.
46. A:Both statements are true
47. C:Statement I is false, and Statement II is true
48. C:A is true, but R is false.
49. C:Both Statements are true

[2x25 =50]